OCR

Oxford Cambridge and RSA

Predicted Paper – Hard Difficulty

A Level Economics

H460/01 Microeconomics

Time allowed: 2 hours

You can use:
- a scientific or graphical calculator

Please write clearly in black ink. **Do not write in the barcodes.**

Centre number Candidate number

First name(s) ____________________

Last name ____________________

INSTRUCTIONS
- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer **all** the questions in Section A, **one** question in Section B and **one** question in Section C.

INFORMATION
- The total mark for this paper is **80**.
- The marks for each question are shown in brackets **[ ]**.
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document has **20** pages.

ADVICE
- Read each question carefully before you start your answer.

Section A

Read the stimulus material and answer **all** the parts of Question 1.

Is the UK domestic energy supply market working for consumers?

For many years the UK domestic energy supply market was dominated by the 'Big Six' suppliers – British Gas, E.ON, EDF, npower, Scottish Power and SSE. Following a wave of mergers and acquisitions between 2019 and 2023, the market is now dominated by five major suppliers. Together these firms account for over 85% of residential customers.

In January 2019, following an investigation by the Competition and Markets Authority (CMA), Ofgem introduced the Default Tariff Cap. The cap limits the maximum price that suppliers can charge households on standard variable tariffs. Ofgem updates the cap every three months to reflect changes in wholesale gas and electricity costs.

Fig. 1
UK wholesale gas price index and average annual household dual-fuel bill (Jan 2020 = 100 / £ per year)

Date	Wholesale gas index (Jan 2020 = 100)	Average annual bill (£)
Jan 2020	100	1,179
Jan 2021	118	1,138
Oct 2021	285	1,277
Oct 2022	510	2,500
Oct 2023	215	1,834
Jul 2024	175	1,568

The 2021–22 wholesale gas crisis pushed European gas prices up by over 400%. Around 29 UK energy suppliers collapsed between August 2021 and April 2022, forcing the government and Ofgem to protect households through the Supplier of Last Resort process and the temporary Energy Price Guarantee.

Burning natural gas and other fossil fuels to generate electricity produces carbon dioxide emissions, which contribute to climate change. To reach the UK's legally binding net-zero target by 2050, the government supports renewable generation through Contracts for Difference (CfDs) – a guaranteed price for each unit of electricity generated. The Climate Change Levy also taxes business energy use.

Switching rates between suppliers have fallen sharply since the 2021 crisis. In the year to April 2024 only 5% of households switched supplier, compared with over 18% in 2018. Commentators suggest that consumer inertia, concerns about supplier financial stability, and the effect of the Default Tariff Cap have all reduced the incentive to switch.

Fig. 2
Estimated UK domestic energy supplier market shares (2024)

Supplier	Market share (%)
British Gas (Centrica)	22
Octopus Energy	19
E.ON Next	16
EDF Energy	14
OVO Energy	14
Other suppliers	15

Firms in the UK energy market compete on price, customer service ratings, smart-meter rollout, and green tariffs backed by renewable generation. However, critics argue that high barriers to entry – large capital requirements, network access, and tightened Ofgem financial-resilience rules – have reduced the contestability of the market and may be limiting the benefits of competition.

1

(a) Explain what is meant by a 'negative externality of consumption'.

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.... **[2]**

(b) Explain, using an appropriate diagram, the likely effect of the Default Tariff Cap on the UK domestic energy supply market.

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.... **[4]**

(c) Refer to Fig. 1.

(i) Calculate, to one decimal place, the percentage change in the average annual household dual-fuel bill between January 2020 and October 2022.

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.... **[2]**

(ii) Compare the trend in the wholesale gas price index with the trend in the average annual household bill over the period shown in Fig. 1.

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.... **[2]**

(d) "the government supports renewable generation through Contracts for Difference (CfDs)." **Lines 21–23.**

Evaluate, using evidence from the stimulus material, the effectiveness of subsidies such as Contracts for Difference in reducing the negative externalities associated with electricity generation.

.... **[8]**

(e)* Evaluate, using evidence from the stimulus material, the extent to which the UK domestic energy supply market can be considered to be an oligopoly. **[12]**

Section B

Answer Question **2 or** Question **3**.

2* Ofgem's Default Tariff Cap limits the maximum unit price that UK suppliers can charge households on standard variable tariffs. Maximum prices are also used in rent control schemes in parts of Europe and in pharmaceutical price regulation.

Evaluate, using an appropriate diagram(s), the likely microeconomic effects of imposing a maximum price in a market. **[25]**

OR

3* Governments commonly use indirect taxes, tradable pollution permits, and regulations such as bans on specific pollutants to address environmental problems.

Evaluate, using an appropriate diagram(s), whether indirect taxes are the most effective method of correcting negative externalities. **[25]**

Question No. ....

Section C

Answer Question **4 or** Question **5**.

4* In the 1980s and 1990s the UK and other governments broke up and privatised a number of state-owned monopolies, including British Gas, British Telecom, and the regional electricity boards. Some economists argue that today's large technology and platform firms should be broken up in a similar way.

Evaluate, using an appropriate diagram(s), whether governments should break up dominant firms in oligopolistic markets. **[25]**

OR

5* In 2023 around 22% of UK employees were members of a trade union, a figure that has fallen from around 38% in the late 1980s. However, union membership has risen in several sectors over the past five years, including transport and public services, and collective bargaining covers about half of UK employees.

Evaluate, using an appropriate diagram(s), the likely impact of trade unions on the UK labour market. **[25]**

Question No. ....

ADDITIONAL ANSWER SPACE

If you need extra space, continue your answer on these lined pages. Write the question number clearly at the start of your answer.

END OF QUESTION PAPER